AQA

Please write clearly, in block capitals.

Centre number | | | | | | Candidate number | | | | |

Surname _____

Forename(s) _____

Candidate signature _____

GCSE
BUSINESS

Tuesday 24th March 2026 Year 9 Time allowed: 50 minutes

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box, around each page or on blank pages.
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Advice

- The marks for each question are shown in brackets.
- The maximum mark for this paper is 43.

Mark for Section A	/ 25
Mark for Section B	/ 18
Total Mark	/ 43
	___%

Section A

01.1 Which of the following types of business does not operate in the tertiary sector?

A Distribution ○
B Banking ○
C Farming ○
D Clothing retailer ○

(1 mark)

01.2 A business has decided to take greater environmental responsibility when making decisions. What is the benefit to the business of doing this?

A It may increase costs ○
B Customer loyalty will improve ○
C Employees may look for other jobs ○
D It will help prevent global warming ○

(1 mark)

01.3 Which of the following would be a reason for a new business to prepare a business plan?

A Banks are more likely to provide loans ○
B It is a legal requirement ○
C It will encourage repeat business ○
D It will cost time and money to prepare ○

(1 mark)

*01.4. Identify **two** advantages of a business changing from a sole trader to an Ltd.. (**2 marks**)*

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2	Explain what is meant by **organic growth** (2 marks)
3	What are the **4 factors of production**? (4 marks)
4	What is meant by the term **outsourcing**? (2 marks)
5	What is meant by the term **franchising**? (2 marks)
6	List one benefit and one drawback of **franchising** for a the franchisor (2 marks)
7	What is meant by the term **Business plan**? (2 marks)
8	List 4 possible factors that affect where a business locates? (2 marks)
9	What is the formula for profit ? (2 marks)
10	What is the difference between fixed costs and variable costs? (2 marks)

Total for section A: 25 marks

Section B

Read Item A and answer Q1.

Tesco is the biggest private sector employer in the UK. Its stores range from small local Tesco Express, to large Tesco Extras and superstores. The locations of these stores are carefully chosen, to ensure that they are convenient for both customers and employees. Over 80% of the company's sales are generated from the stores based in the UK.

Q1.

Analyse two reasons why it is important for Tesco to select the right location for its stores. ***(6 Marks)***

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Read Item B and answer the question that follows.

Item B:

Jim Walls set up Quality Wallpaper Ltd ten years ago after he lost his job in a local factory. The factory closed due to a decrease in demand caused by the poor economy at that time. His business idea was to produce a range of wallpapers that would wipe clean and would therefore appeal to families with young children. Using his redundancy money, Jim hired a factory unit where he could design and make small quantities of wallpaper exactly to his customer requirements. With the improvement in the economy and rising employment levels in the area, Jim has been able to charge high prices for his wallpaper and make a good profit.

Over the last year, Jim has struggled to meet all the orders that his successful company has received. He has also found himself getting more and more requests to supply paint and to offer a home decorating service. To date, Jim has not really planned his business in detail. He has managed to operate with some second hand machinery and five employees, who he used to work with at the factory. As he is now also getting orders from locations outside of the local area, Jim has decided that the time is right to produce a business plan and to expand his company.

His own research and calculations have shown that making paint in large quantities would require expensive machinery, but would have low running costs and few employees. He would need additional finance, through a loan, to rent new larger premises and to purchase this new machinery if he were to start paint production. Investing in new machines would also allow him to increase wallpaper production to meet the growing demand for this product.

He has also researched that if he offered a home decorating service, he would need to invest significantly in the recruitment and selection of managers and decorators, as he would require a large workforce to successfully run this service. He has also considered the possibility of franchising the home decorating business. The franchisees could use his name and logo and he would receive royalty payments in return.

02. Analyse the impact of expanding using a franchising for the home decorating service rather than the company employing its own additional staff and running the service themselves.

In your answer you should analyse the following options for his new home decorating service:

- franchising the home decorating business (by becoming a franchis**or**)
- recruiting managers and decorators to offer their own home decorating business

You must evaluate which option would be most profitable for Quality Wallpaper Ltd.
Use evidence to support your answer. **(12 marks)**

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END OF QUESTIONS